

NBFC Digital Loan Origination System

Business Requirements Document

Document Information

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1.0	May 22, 2026	Initial Draft	Satvik Narang

Introduction

This document defines the business requirements for a Digital Loan Origination System designed for NBFCs. The proposed solution aims to digitize and streamline the end-to-end loan application and approval lifecycle through a mobile-based platform integrated with KYC verification services, credit rating agencies, and document validation systems.

The platform will enable customers to apply for loans remotely, upload required documents digitally, complete verification procedures, and receive loan decisions without physically visiting the branch. The system will also support loan officers through automated eligibility assessment and report generation capabilities.

Business Problem

The current loan application process in many NBFCs is highly dependent on manual branch visits, physical documentation, and manual verification activities. This results in operational inefficiencies, delayed loan processing timelines, increased manpower dependency, and inconsistent customer experience.

Key business challenges include:

- Long turnaround time for loan processing
- High manual verification workload
- Increased operational costs
- Customer inconvenience due to branch dependency
- Higher risk of human verification errors
- Limited scalability during high application volumes

NBFCs require a secure and scalable digital lending solution capable of improving operational efficiency while enhancing customer onboarding and loan processing experience.

Objective

The objective of the Digital Loan Origination System is to automate and streamline the loan application and approval process for NBFCs through a secure mobile application platform.

The proposed solution aims to:

- Reduce loan processing turnaround time from 7 days to within 24 hours
- Minimize manual intervention in verification and eligibility assessment
- Improve customer convenience through remote loan application capability
- Improve operational efficiency and reduce verification costs
- Enable faster and data-driven loan approval decisions
- Ensure compliance with RBI and KYC regulatory requirements

Stakeholders

- Customers / Loan Applicants
- Loan Officers
- Operations Team
- Compliance Team
- Fraud Detection Team
- NBFC Management
- Credit Rating Agencies
- Document Verification Providers

Scope

In Scope:

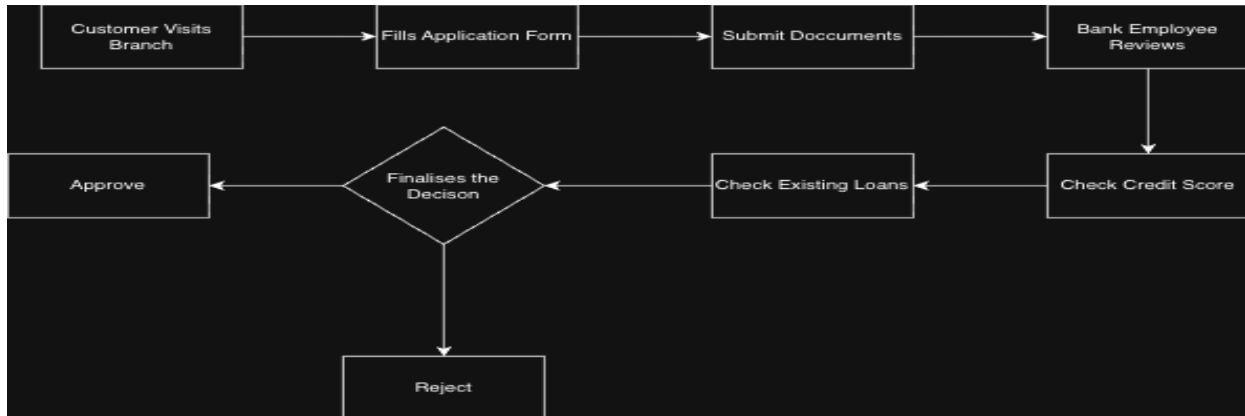
- Mobile-based loan application submission
- Digital document upload and verification
- KYC verification integration
- Credit score fetching from integrated credit agencies
- Loan eligibility calculation
- AI-assisted risk assessment and report generation
- Loan officer dashboard for approval workflows
- Final approval/rejection notifications
- Loan disbursal workflow
- Repayment reminder notifications

Out of Scope:

- Sales and marketing activities
- Debt collection activities
- Physical branch processing workflows
- Third-party financial product recommendations
- CRM and customer support operations

As-Is Process

Currently, customers are required to physically visit NBFC branches to inquire about and apply for loans. Loan officers manually verify customer documents, assess credit eligibility, and process approvals through manual operational workflows.

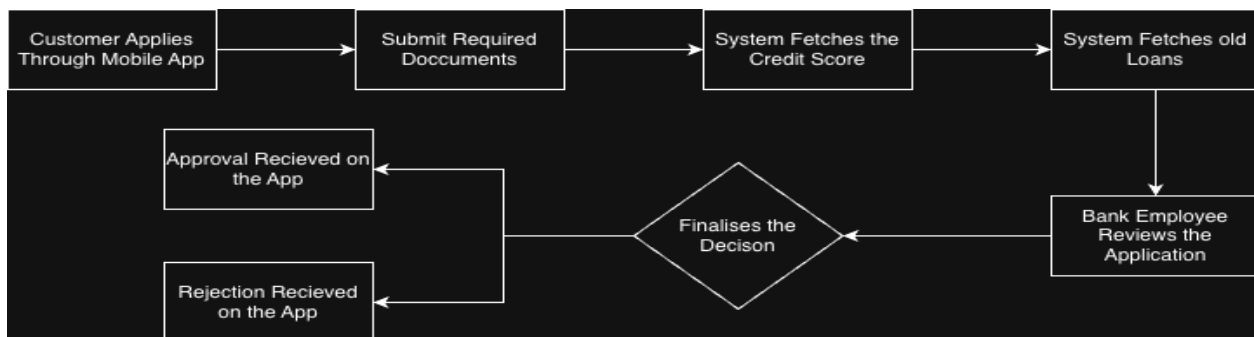


This process leads to longer processing timelines, operational inefficiencies, and inconsistent customer experience, with loan approval cycles often taking up to seven days.

To-Be Process

The proposed Digital Loan Origination System will enable customers to digitally apply for loans through a mobile application without requiring physical branch visits.

The system will automate document verification, KYC validation, credit score fetching, eligibility assessment, and report generation processes before forwarding the application to the loan officer dashboard for final approval or rejection.



Business Rules

- Minimum credit score requirement shall be configurable by the NBFC.
- Maximum eligible loan amount shall be calculated based on predefined eligibility rules.
- Aadhaar and PAN verification shall be mandatory for loan processing.
- Loan applications with incomplete documentation shall not proceed for approval.
- Final approval authority shall remain with the loan officer.

Functional Requirements

- FR-1. The system shall allow customers to enter the requested loan amount.
- FR-2. The system shall allow users to upload all required loan application documents digitally.
- FR-3. The system shall perform KYC verification prior to final application submission.
- FR-4. The system shall validate uploaded documents through integrated verification repositories.
- FR-5. The system shall fetch customer credit scores from integrated credit rating agencies.
- FR-6. The system shall calculate eligible loan amount based on predefined business rules.
- FR-7. The system shall notify the customer if the requested amount exceeds the eligible amount.
- FR-8. The system shall generate an automated eligibility assessment report.
- FR-9. The system shall forward the loan application and assessment report to the loan officer dashboard.
- FR-10. The system shall allow loan officers to approve, reject, or request additional documents.
- FR-11. The system shall notify customers regarding final application status.
- FR-12. The system shall initiate loan disbursement after final approval.
- FR-13. The system shall send repayment installment reminders to customers.

Non-Functional Requirements

- The system shall maintain minimum uptime availability of 99%.
- Loan eligibility assessment shall be completed within 5 minutes of application submission.
- Customer financial and personal data shall be encrypted during transmission and storage.
- The platform shall support concurrent loan application processing.
- The system shall maintain audit logs for all operational activities.
- The platform shall comply with RBI guidelines and digital lending regulations.

Assumptions

- Customers possess stable internet access and smartphone devices.
- Third-party APIs are available for credit score and document verification.
- Customers possess all mandatory documents prior to application submission.
- Integrated services are available during operational hours.

Constraints

- Final approval authority remains with the loan officer.
- System performance depends on third-party API availability.
- Regulatory compliance requirements must be followed at all times.
- Loan disbursement timelines may depend on banking network availability.

Success Metrics

- Reduce loan processing turnaround time from 7 days to 24 hours
- Reduce manual verification workload by 60%
- Improve customer onboarding completion rate
- Improve operational efficiency and approval throughput
- Reduce document verification errors and rework